

S&P Global Eurozone Composite PMI[®]

Solid euro area growth continues into August

August 2026

S&P Global Eurozone Composite PMI Output Index at 52.0 (Jul: 52.0). Unchanged

S&P Global Eurozone Services PMI Business Activity Index at 51.6 (Jul: 51.7). 2-month low.

Growth rate unchanged from July's eight-month high

August provided another set of positive PMI[®] survey data for the eurozone. Private sector business activity growth kept pace with that seen in July, which was the fastest in eight months. Employment expanded for the first time in the year-to-date, supported by another month of solid and broad-based sales growth.

Meanwhile, inflationary pressures were stable, with input cost pressures nudging down a fraction and output prices increasing at the same pace as in July. However, inflation rates remained high by historical standards and were above those seen immediately prior to the outbreak of war in the Middle East.

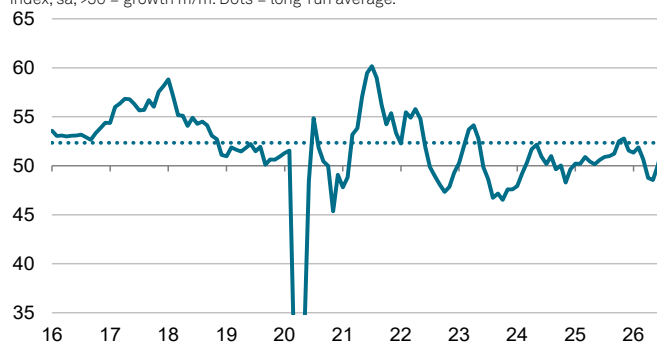
The seasonally adjusted S&P Global Eurozone Composite PMI[®] Output Index – a weighted average of the Manufacturing PMI Output Index and the Services PMI Business Activity Index – posted 52.0 in August, unchanged from July's eight-month high. The headline index was above the 50.0 no-change threshold and close to its long-term average (52.3), signalling a solid expansion in private sector output levels when compared with the previous month.

National level PMI data revealed the south of the euro area as the key contributor to growth, with both Spain and Italy posting marked expansions in overall economic activity levels. Germany's upturn was comparatively more modest, but nonetheless the quickest since March. France bucked the broad trend of growth, registering an eighth successive contraction in business activity.

As was the case for output, new order inflows increased at the same solid pace as recorded in July. Subsequently, August's improvement in demand was the joint-strongest since November last year. PMI data split by the two monitored sectors signalled broad-based sales growth.

Notably, August was the first time in four-and-a-half years that new export* orders had risen across the eurozone's private sector. Driving this expansion was the manufacturing sector as overseas demand for services weakened slightly. As a result, the combined rate of increase was marginal.

S&P Global Eurozone Composite Output PMI
Index, sa, >50 = growth m/m. Dots = long-run average.



Data were collected 10-25 August 2026.

Source: S&P Global PMI. ©2026 S&P Global.

Comment

Joe Hayes, Senior Principal Economist at S&P Global Market Intelligence:

"August's PMI data puts the euro area on track for a solid quarter of growth in Q3. Momentum in the industrial economy has picked up nicely and the service sector has shaken off the initial weakness seen after energy prices surged at the start of the Middle East war. It's noteworthy that the August data indicated a stalling of the disinflationary trend witnessed since the PMI prices indices peaked in May. Taken alongside the resilience in economic activity as illustrated by the latest figures, the European Central Bank may feel a tightening of policy at next week's meeting is now justified."

Improved sales conditions were accompanied by a fresh rise in private sector employment during the latest survey period. August data signalled an increase in workforce numbers for the first time in the year-to-date. The pace of job creation was aligned with its survey average.

Despite capacity enhancements, backlogs of work were cleared at a slower pace in August. In fact, the extent to which outstanding business was cleared was only marginal and the weakest since March.

Regarding prices, the latest survey data signalled little change to the inflation environment in the euro area. The rate of input cost inflation ticked down by just a fraction, while output price rises were equal to those recorded in July. Compared to the state of play before the Middle East war, price pressures remain elevated.

Finally, business confidence held steady. While above those seen in the second quarter, growth expectations were weak by historical standards. Sectoral trends bifurcated, with a marked improvement in manufacturers' sentiment contrasting with weaker optimism among services companies.

*includes intra-eurozone trade.

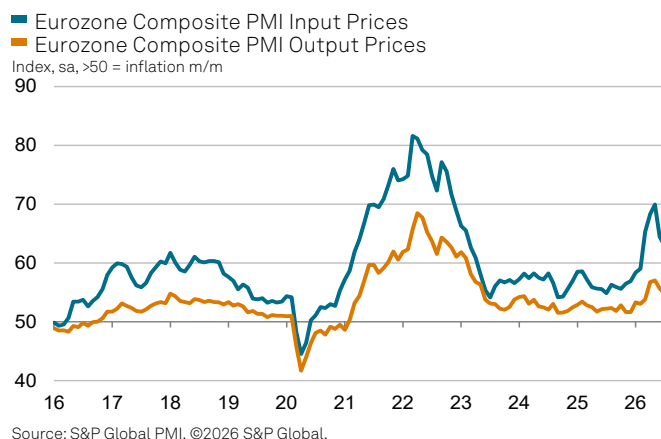
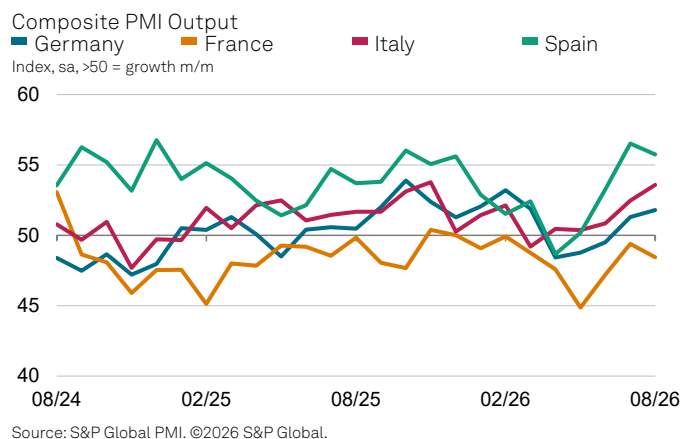
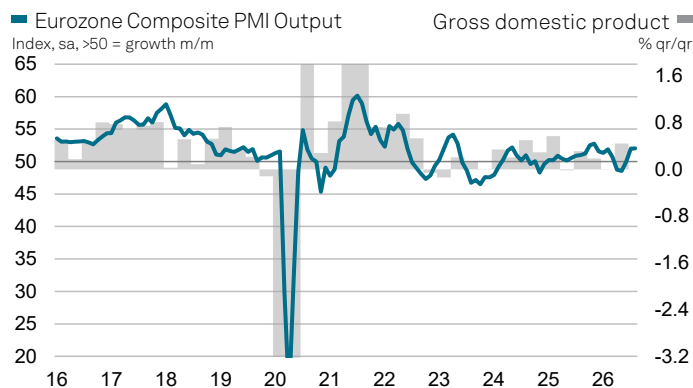
S&P Global Eurozone Services PMI

The S&P Global Eurozone Services PMI Business Activity Index posted above the 50.0 no-change threshold for a second month in succession, signalling back-to-back increases in output. At 51.6 in August, the index was little changed from 51.7 in July.

Another solid increase in new business was recorded during the latest survey period, reflecting stronger domestic sales performances as export demand fell marginally. Even though the rate of total sales growth outpaced that for output, backlogs of work were reduced slightly in August.

The positive employment trend seen since June was maintained in August. In fact, the rate of job creation quickened to an eight-month high. This came despite a moderation in firms' expectations for growth in the year ahead.

Service sector price pressures crept up in August. Rates of input cost and output charge inflation both rose to three-month highs.



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Methodology

The S&P Global Eurozone Composite PMI® is compiled by S&P Global from responses to questionnaires sent to survey panels of manufacturers and service providers in eight nations, totalling around 5,000 private sector companies. The panels are each stratified by detailed sector and company workforce size, based on contributions to each country's GDP.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. A diffusion index is calculated for each manufacturing and services survey variable, at the country level. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

Eurozone level indices for manufacturing and services are calculated by weighting together the country indices using national manufacturing and services annual value added (source: Eurostat). Composite eurozone level indices are calculated by weighting comparable manufacturing and services indices using eurozone manufacturing and services annual value added (source: Eurostat).

The headline composite figure is the Composite Output Index. This is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. It may be referred to as the 'Composite PMI' but is not comparable with the headline Manufacturing PMI, which is a weighted average of five manufacturing indices (including the Manufacturing Output Index).

The headline services figure is the Services Business Activity Index. This is a diffusion index calculated from a single question that asks for changes in the volume of business activity compared with one month previously. The Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline Manufacturing PMI.

Underlying survey data are not revised after publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series.

Flash data were calculated from 81% of final responses. Since January 2006 the average difference between final and flash Composite PMI values is 0.0 (0.3 in absolute terms). Flash services data were calculated from 73% of final responses. Since January 2006 the average difference between final and flash Services PMI Business Activity Index values is 0.1 (0.3 in absolute terms).

For further information on the PMI survey methodology, please contact economics@spglobal.com.

S&P Global

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